

1. Negative Consumption Externality

A negative consumption externality occurs when the consumption of a good or service imposes costs on third parties that are not reflected in the price of the good.

Example in Malawi: Excessive Alcohol Consumption

In Malawi, excessive alcohol consumption, particularly of locally brewed spirits (e.g., "kachasu"), creates significant social and health issues. These include domestic violence, road accidents, loss of productivity, and strain on healthcare services. The costs are borne by individuals and society rather than solely by the drinkers.

Government Intervention:

The Malawi Government has taken steps to address these externalities:

- **Taxation:** High excise taxes on alcoholic beverages aim to reduce excessive alcohol consumption.
- **Regulation:** The government has imposed restrictions on alcohol advertising, sales to minors, and operating hours for bars.
- **Awareness Campaigns:** Public health campaigns educate citizens on the dangers of alcohol abuse.

These measures aim to internalize the externality by increasing the private costs of alcohol consumption and discouraging harmful behavior.

2. Positive Production Externality

A positive production externality occurs when the production of a good or service benefits third parties without them paying for it.

Example in Malawi: Beekeeping (Honey Production)

Beekeeping in Malawi, particularly in rural areas, creates a positive production externality. While farmers produce honey, the bees pollinate crops in the surrounding areas, increasing agricultural yields for other farmers. This improved pollination benefits food security and biodiversity.

Government Intervention:

The Malawi Government has supported beekeeping through:

- **Training Programs:** The Ministry of Agriculture and NGOs provide training on modern beekeeping techniques.
- **Subsidies and Loans:** Initiatives like the National Agricultural Investment Plan (NAIP) support farmers with access to capital and equipment for beekeeping.
- **Market Access:** The government collaborates with organizations to link beekeepers to local and international markets, incentivizing honey production.

By supporting beekeeping, the government enhances the positive externality of pollination, contributing to broader agricultural and economic development.

Summary of Differences and Interventions

A negative consumption externality (e.g., alcohol abuse) imposes societal costs, and the government addresses this by discouraging harmful consumption through taxes, regulations, and campaigns.

A positive production externality (e.g., beekeeping) provides societal benefits, and the government supports it through subsidies, training, and market facilitation.

In both cases, interventions aim to correct market failures and improve societal